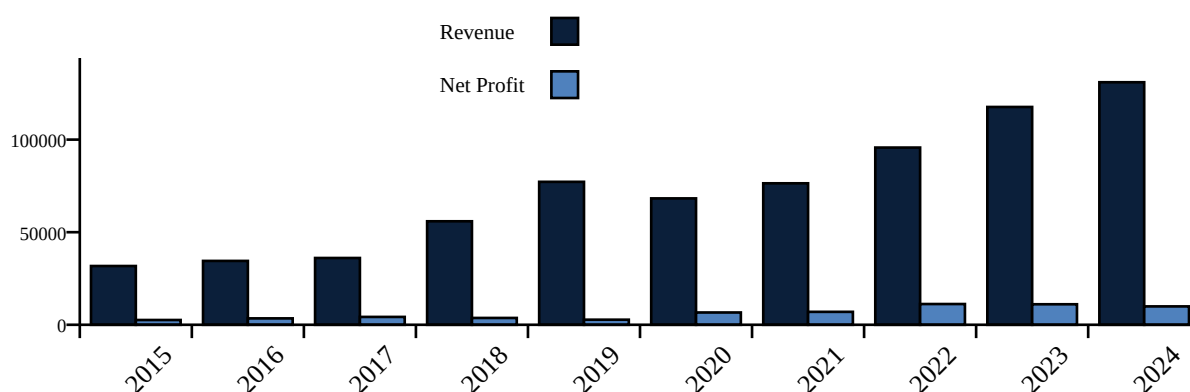


Grasim Industries Ltd

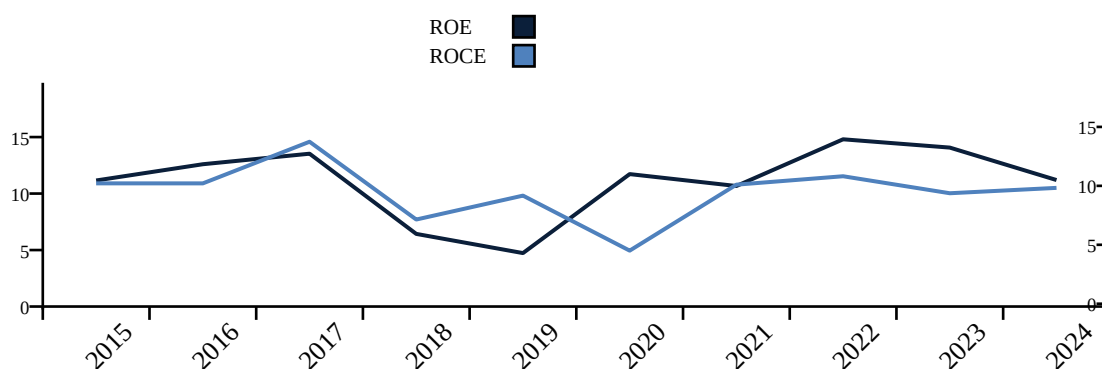
GRASIM

ROE 11.2%	ROCE 9.8%	Net Margin 7.6%
Debt / Equity 1.5	Revenue CAGR 5Y 11.2%	Quality Score 37.8

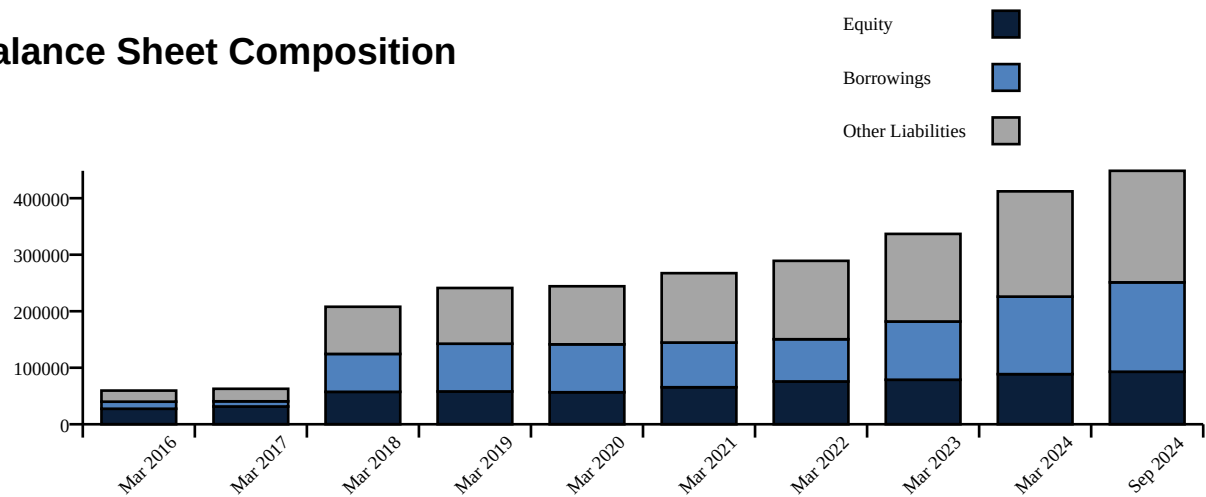
10-Year Revenue & Net Profit



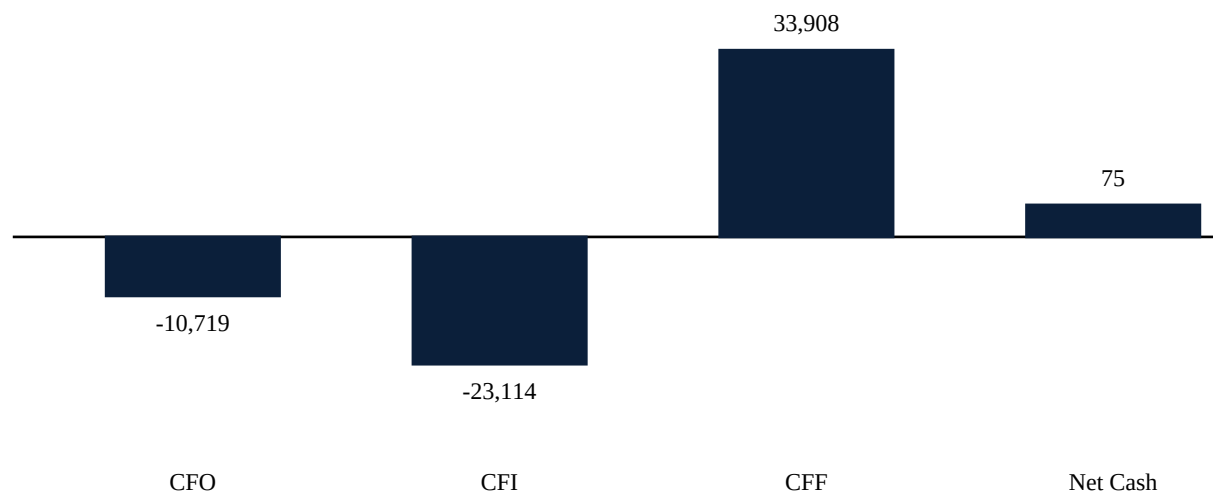
ROE & ROCE Trend



Balance Sheet Composition



Cash Flow Waterfall — Latest Year



Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt